

Store Operations Standard Operating Procedures

Daily operations, cash handling, returns at the till, inventory control and safety for every Lumen store

Document	SOP-OPS-007	Owner	Store Operations
Version	6.1	Audience	Store managers, assistant managers, department leads and cashiers
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1. Purpose, scope and roles

This SOP describes how a Lumen store runs from the first key turn in the morning to the last alarm set at night. It applies to all 24 stores (S01 to S24); Lumen.com fulfillment centers follow SOP-FUL-003. Where a store type has its own rule, the rule is shown in the table in section 2.

Role	Accountable for
Store Manager	Sales, shrink, labor plan, audit score, approvals above the cashier limit
Assistant Manager	Opening and closing, cash office, schedule adherence, returns exceptions
Department Lead	Planogram, replenishment and cycle counts for one department
Cashier	Till accuracy, returns at the point of sale, loyalty sign-ups
Stockroom Associate	Receiving, put-away, click-and-collect picking
Asset Protection Partner	Shrink analysis, return pattern review, incident follow-up (regional role)

2. Store types, hours and staffing

Lumen operates four store formats. Mall stores follow the landlord's hours when they are longer. Minimum staffing is the number of colleagues on the floor and at the till while the store is open to customers.

Format	Stores	Hours (Mon-Sat)	Sunday	Minimum staffing
Flagship	S01, S07, S13, S21	9 am to 10 pm	10 am to 8 pm	14
Mall	S02, S05, S08, S10, S14, S16, S19, S22, S24	Mall hours, 10 am to 9 pm minimum	11 am to 6 pm	8
Standalone	S03, S06, S09, S15, S17, S20, S23	9 am to 9 pm	10 am to 7 pm	9
Outlet	S04, S11, S12, S18	10 am to 9 pm	10 am to 7 pm	7

Holiday trading hours are published by Store Operations each October. The Store Manager may not shorten published hours without Regional Operations Director approval.

3. Opening procedure

The opening team is two colleagues, one of whom must be an assistant manager or above. Nobody enters the building alone.

1. Disarm the alarm and sweep the sales floor, stockroom and loading dock before unlocking the main doors.
2. Collect the till floats from the safe (each till starts at \$200.00 in the standard denominations) and count them in view of the second colleague. Sign the float sheet.
3. Power up registers, card terminals and handheld scanners; confirm the loyalty lookup works.
4. Review the daily brief in the store system: active promotions, price changes, delivery schedule and any Asset Protection notices.
5. Walk the floor. Confirm promotional signage matches the daily brief, fixtures are full, and aisles are clear.
6. Check the click-and-collect shelf and clear any orders that expire today.
7. Unlock the doors at the published opening time. Do not open late for any reason other than safety.

4. Closing procedure

1. Announce closing 15 minutes before the published time and 5 minutes before. Do not lock customers out.
2. Close registers, run the end-of-day report and print the till summary for each cashier.
3. Count each till with a second colleague. The counted total is compared with the report.
4. Prepare the deposit. All cash above the next day's float of \$200.00 per till goes to the safe, and the deposit is taken to the bank on the next business day.
5. Walk the floor for left-behind customers, unattended carts and fitting-room items. Return merchandise to its home location.
6. Check all exits, lock the stockroom, set the alarm and leave together.

5. Cash handling

- **Float and drops.** Each till starts the day at \$200.00. When a till holds more than \$500.00 in cash, the cashier calls for a safe drop. Drops are done by the assistant manager, who signs the drop slip.
- **Variance tolerance.** A till variance of up to \$5.00 over or short is within tolerance. A variance above \$5.00 is recounted and explained on the cash report. A variance above \$25.00 is reported to Regional Finance the same day.
- **Two-person rule.** Safe counts, deposit preparation and till pulls always involve two colleagues.
- **Counterfeit detection.** Every bill of \$50 or more is checked with the detection pen. A suspected counterfeit is not returned to the customer; follow the incident procedure in section 11.
- **Refunds in cash.** Cash refunds follow the return policy limit of \$250.00. Larger refunds are issued by check.

6. Returns and exchanges at the point of sale

Returns are governed by the Return and Refund Policy (POL-RET-014) and by any Asset Protection memo in force. The cashier's job is to apply them consistently, record the right codes, and escalate when a rule requires approval.

6.1 Processing steps

1. Greet the customer and ask for the receipt, the order number or the Lumen Rewards ID.
2. Look the order up in the point-of-sale system. If the item was bought online, scan the return barcode from the confirmation email or look up by order number.
3. Check the item against the category window in the policy. Gold members have 15 extra days.
4. Inspect the item and its packaging and record the condition code (table below).
5. For Electronics, scan the serial number into the return screen. A return of an Electronics item without a serial number needs Store Manager approval.
6. The system calculates the restocking fee from the category and condition. The cashier may not change it; only a Store Manager can apply the RF-WAIVE code.
7. Refund to the original payment method, or issue store credit where the rules require it. Print the receipt and have the customer sign for refunds above \$100.00.
8. Place the item in the returns bin with its return tag. Returns are inspected and re-shelved or sent to the returns center within 24 hours.

6.2 Condition and reason codes

Code	Meaning	Restocking fee
CND-U	Unopened or unused	Never
CND-O	Opened or used, not defective	Per policy category table
CND-D	Defective or damaged	Never
RSN-01	Changed mind or did not fit the space	Per condition
RSN-02	Not as described	Per condition
RSN-03	Stopped working, damaged or missing parts	Never (CND-D)
RSN-04	Gift duplicate or ordered by mistake	Per condition

6.3 Approvals

Cashiers approve standard returns up to \$250.00 per transaction. A Store Manager approves returns from \$250.01 to \$1,000.00, any return up to 7 days outside the window, and any restocking fee waiver. Returns above \$1,000.00 go to the Regional Operations Director. Approvals are entered with the manager's override code and are never shared.

7. Pricing, promotions and markdowns

- **Price changes** take effect at 6:00 am every Tuesday. The daily brief lists the changes; the department lead prints and replaces shelf labels before opening.
- **Promotions** start and end on the dates in the promo calendar. Promotional signage goes up the day before the start and comes down the morning after the end. The point-of-sale system applies the discount; colleagues never override a promotional price by hand.
- **Markdown cadence.** Clearance items are marked down at 25 percent, then 50 percent after four weeks, then 70 percent after eight weeks. At 70 percent the item is stickered **Final Sale** and cannot be returned.
- **Planogram resets.** Each department is reset once a quarter on a night shift published by Visual Merchandising. Resets are completed before the store opens.

8. Inventory control and shrink

Shrink is the difference between book inventory and the count. The chain target is 1.2 percent of net sales; each store manager receives the store's rate monthly.

Category	Cycle count frequency	Notes
Electronics	Weekly	High value and high shrink; counted by two colleagues, serial numbers spot-checked
Furniture	Monthly	Floor models and stockroom stock reconciled separately
Home Decor	Monthly	Breakage logged with photographs
Kitchen & Dining	Monthly	Small appliances kept in locked cabinets overnight
Bedding & Bath	Quarterly	
Apparel	Quarterly	Fitting-room counts at open and close
Outdoor & Garden	Quarterly	Seasonal stock counted at the start and end of the season

Receiving. Deliveries are booked by dock appointment. The stockroom associate checks the carton count against the delivery note, signs for exact counts only, and records damage on the note. Merchandise is put away within 48 hours, and Electronics within 24 hours.

9. Click-and-collect and ship-from-store

- **Click-and-collect.** Orders placed on Lumen.com for store pickup are picked within 2 hours during opening hours and held for 5 days. Orders not collected are returned to stock and refunded on day 6.
- **Ship-from-store.** Stores with spare stock may be asked to ship an online order. The cut-off for same-day dispatch is 3:00 pm. Orders are packed with the supplied carton and label and handed to the carrier at the daily pickup.
- **Substitutions** are never made without the customer's consent. A short-picked order is cancelled for that line.

10. Safety

- Walk the floor for hazards at open, midday and close; wet floors get a sign immediately.
- Heavy furniture is moved only with the equipment provided and by two colleagues when it weighs more than 50 pounds.
- Ladders and stockroom steps are inspected monthly and logged.
- Fire exits are kept clear at all times. The assistant manager runs an evacuation drill twice a year.
- Emergency numbers are posted in the cash office. The Store Manager is the incident commander until the Regional Operations Director takes over.

11. Incidents and reporting

Any injury, theft, counterfeit bill, robbery, near miss or customer complaint that involves a safety issue is reported in the incident system within 24 hours. Theft and fraud incidents also go to the Asset Protection Partner by phone the same day. Colleagues never confront a suspected thief; the priority is the safety of customers and colleagues.

12. Training and audits

New colleagues complete the onboarding course within their first 14 days and the point-of-sale and returns module before working a till alone. Each store is audited once a quarter by its regional operations team on a 100-point checklist covering opening and closing, cash handling, returns documentation, inventory counts, safety and presentation. A score below 85 triggers a 30-day action plan and a follow-up visit.